

ASE Technology Holding

Continued Capex spree underpins strong business outlook

Maintain Rating: BUY | PO: 800.00 TWD | Price: 703.00 TWD

YTD equipment buys tracks 82% of its '26 capex guidance

ASE has filed 152 equipment buys and 101 facility construction announcements through late September. The spending on equipment YTD has reached NT\$273bn, tracking 82% of its '26 capex guidance of US\$10.5bn (has revised up from US\$8.5bn) not yet considering their land and facility purchase. The equipment buy should mainly be for 2.5D packaging and chip probing, reflecting accelerated capacity expansion amid strong demand for its LEAP business from its own project wins and its foundry partner's outsourcing. To secure sufficient facility infrastructure to house additional capacity, ASE has announced NT\$112bn of spending YTD on facility and clean room construction contracts, with these projects expected to progressively complete through 2027-2028.

Solid sales/margins across the board sponsor heavy capex

Following ASE's July announcements to acquire new lands and facilities in Kaohsiung and Taoyuan, the company announced another NT\$2.15bn facility acquisition in Singapore to support the future testing expansion needs in its Singapore subsidiary as its major customers request supply base diversification. Despite rising depreciation from heavy capex investments and additional funding needs, we forecast ASE's IC ATM sales to +37% CAGR from '26-28 while GMs should improve to 33.8%/37% in '27/28 (from 28.3% in 2026) on solid packaging and testing demand for AI chipsets (BofAe LEAP sales US\$4/10/13bn in 2026/27/28) and fast improving mainstream business outlook.

Decent earnings support re-rating despite funding needs

We keep Buy on ASE with NT\$800 PO on 20x 2H27-1H28 P/E and maintain EPS for '26/27/28E at NT\$18/31/45. While additional funding may be required to finance its aggressive spending on expansion and R&D projects, we believe the decent customer commitment and ROE of 25-30%+ from LEAP business should justify the funding costs.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	36,902	43,283	83,585	141,453	205,977
EPS	7.70	9.30	18.13	30.90	45.30
EPS Change (YoY)	4.0%	20.8%	94.9%	70.5%	46.6%
Consensus EPS (Visible Alpha)			18.39	28.36	37.47
Dividend / Share	5.30	5.70	11.30	19.40	28.40
Free Cash Flow / Share	2.61	(5.16)	(36.89)	(45.13)	(13.32)
ADR EPS (US\$)	0.480	0.597	1.14	1.94	2.84
ADR Dividend / Share (US\$)	0.330	0.366	0.708	1.22	1.78
Valuation (Dec)					
P/E	91.29x	75.58x	38.78x	22.75x	15.52x
Dividend Yield	0.754%	0.811%	1.61%	2.76%	4.04%
EV / EBITDA*	36.30x	30.42x	19.45x	11.32x	8.00x
Free Cash Flow Yield*	0.358%	-0.713%	-5.16%	-6.32%	-1.87%

* For full definitions of *IQmethod*SM measures, see page 8.

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Refer to important disclosures on page 9 to 12. Analyst Certification on page 6. Price Objective Basis/Risk on page 6.

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30 September 2026

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Stock Data

Price (Common / ADR)	703.00 TWD / 45.31 USD
Price Objective	800.00 TWD / 51.00 USD
Date Established	8-Sep-2026 / 8-Sep-2026
Investment Opinion	C-1-7 / C-1-7
52-Week Range	162.50 TWD-729.00 TWD
Market Value (mn)	98,453 USD
Market Value (mn)	3,142,812 TWD
Shares Outstanding (mn)	4,470.6 / 2,235.3
Average Daily Value (mn)	384.96 USD
Free Float	81.9%
BofA Ticker / Exchange	XSRI / TAI
BofA Ticker / Exchange	ASX / NYS
Bloomberg / Reuters	3711 TT / 3711.TW
ROE (2026E)	20.3%
Net Dbt to Eqty (Dec-2025A)	41.5%

Glossary of abbreviations in Exhibit 9

iQprofileSM ASE Technology Holding

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	595,410	645,388	846,543	1,089,719	1,297,628
Gross Profit	96,997	114,193	179,917	290,641	396,978
Sell General & Admin Expense	(28,935)	(30,586)	(37,752)	(44,816)	(49,575)
Operating Profit	39,232	50,756	98,585	192,658	286,762
Net Interest & Other Income	2,588	545	3,412	(16,792)	(29,302)
Associates	NA	NA	NA	NA	NA
Pretax Income	41,820	51,301	101,997	175,866	257,460
Tax (expense) / Benefit	(7,756)	(9,460)	(18,880)	(33,098)	(48,196)
Net Income (Adjusted)	36,902	43,283	83,585	141,453	205,977
Average Fully Diluted Shares Outstanding	4,333	4,462	4,506	4,506	4,506

Key Cash Flow Statement Data					
Net Income	32,620	40,658	81,048	139,247	204,103
Depreciation & Amortization	59,815	67,440	86,230	124,891	162,867
Change in Working Capital	(3,706)	(9,449)	(22,598)	(36,173)	(27,900)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	2,058	43,600	27,147	0	0
Cash Flow from Operations	90,788	142,249	171,827	227,965	339,071
Capital Expenditure	(79,522)	(164,643)	(333,900)	(426,600)	(397,800)
(Acquisition) / Disposal of Investments	1	(1,971)	4,511	1,719	(178)
Other Cash Inflow / (Outflow)	(4,387)	969	(12,022)	0	0
Cash Flow from Investing	(83,909)	(165,644)	(341,411)	(424,881)	(397,978)
Shares Issue / (Repurchase)	1,103	3,480	2,203	0	0
Cost of Dividends Paid	(22,459)	(23,034)	(25,208)	(50,250)	(86,333)
Cash Flow from Financing	(7,271)	45,269	89,859	184,919	90,251
Free Cash Flow	11,266	(22,393)	(162,073)	(198,635)	(58,729)
Net Debt	109,225	155,020	337,127	586,012	731,074
Change in Net Debt	20,146	61,690	199,041	247,166	145,241

Key Balance Sheet Data					
Property, Plant & Equipment	312,531	421,115	699,889	1,063,727	1,384,481
Other Non-Current Assets	152,881	154,423	202,546	224,320	250,667
Trade Receivables	113,420	125,042	152,050	198,842	233,310
Cash & Equivalents	84,883	100,223	34,387	20,671	52,193
Other Current Assets	76,982	88,530	100,913	114,459	124,064
Total Assets	740,698	889,333	1,189,783	1,622,018	2,044,714
Long-Term Debt	140,237	214,510	304,588	544,588	724,588
Other Non-Current Liabilities	23,735	57,108	90,750	90,750	90,750
Short-Term Debt	53,872	40,734	66,926	62,094	58,678
Other Current Liabilities	177,068	203,615	221,262	245,030	253,256
Total Liabilities	394,911	515,966	683,525	942,462	1,127,272
Total Equity	345,787	373,368	506,258	679,556	917,442
Total Equity & Liabilities	740,698	889,333	1,189,783	1,622,018	2,044,714

iQmethod SM - Bus Performance*					
Return On Capital Employed	6.2%	6.9%	9.9%	13.5%	14.8%
Return On Equity	11.9%	12.9%	20.3%	25.1%	26.8%
Operating Margin	6.6%	7.9%	11.6%	17.7%	22.1%
EBITDA Margin	16.6%	18.3%	21.8%	29.1%	34.7%

iQmethod SM - Quality of Earnings*					
Cash Realization Ratio	2.5x	3.3x	2.1x	1.6x	1.6x
Asset Replacement Ratio	1.4x	2.6x	4.0x	3.5x	2.5x
Tax Rate (Reported)	18.5%	18.4%	18.5%	18.8%	18.7%
Net Debt-to-Equity Ratio	31.6%	41.5%	66.6%	86.2%	79.7%
Interest Cover	5.8x	6.8x	8.0x	8.1x	8.6x

Key Metrics

* For full definitions of iQmethodSM measures, see page 8.

Company Sector

Semiconductors

Company Description

Established in 1984 and headquartered in Taiwan, ASE Technology Holding is the no.1 outsourced assembly and testing (OSAT) firm globally, in terms of market share by revenue. ASE acquired Siliconware Precision (SPIL) in 2018, and had acquired USI in 2010, which became its EMS business segment providing synergies in system-level packaging. 2 shares = 1 ADR.

Investment Rationale

We rate ASE Buy, factoring in the company's opportunity in advanced packaging and testing evidenced in TSMC's outsourcing and its own heavy capex investment. The strategy shift should allow the company to capture fast growing addressable market in high performance computing applications and improves its margins. ASE could maintain its leading position in the Outsourced Semiconductor Assembly and Test (OSAT) universe, owing to its well-established footprints and widespread service offerings.

Stock Data

Shares / ADR	2.00
Price to Book Value	6.6x



Focus charts and tables

Exhibit 1: ASE 2026-28 estimates BofAe vs. Street

We maintain our EPS estimates for '26/27/28 at NT\$18/31/45

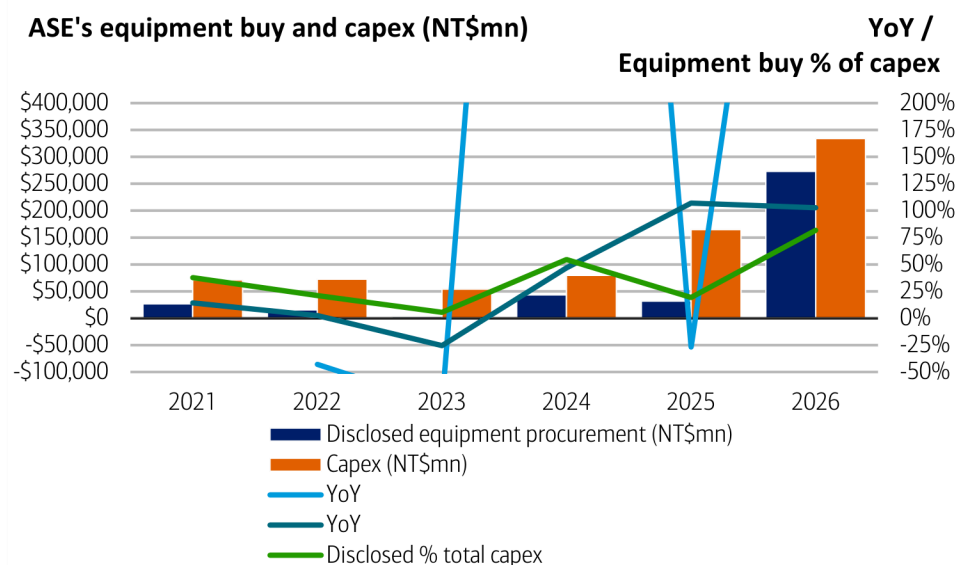
	2026E			2027E			2028E		
	BofAe	Street	vs. Street	BofAe	Street	vs. Street	BofAe	Street	vs. Street
Sales (NT\$mn)	\$846,543	\$837,179	1%	\$1,089,719	\$1,043,653	4%	\$1,297,628	\$1,230,594	5%
Sales QoQ / YoY (%)	31.2%	29.7%		28.7%	24.7%		19.1%	17.9%	
Gross profit (NT\$mn)	\$179,917	\$177,390	1%	\$290,641	\$247,335	18%	\$396,978	\$314,331	26%
GMs (%)	21.3%	21.2%	0%	26.7%	23.7%	3%	30.6%	25.5%	5%
Operating profit (NT\$mn)	\$98,585	\$98,311	0%	\$192,658	\$155,971	24%	\$286,762	\$211,153	36%
OpMs (%)	11.6%	11.7%	0%	17.7%	14.9%	3%	22.1%	17.2%	5%
Pretax profit (NT\$mn)	\$101,997	\$103,760	-2%	\$175,866	\$155,822	13%	\$257,460	\$204,201	26%
Pretax margins (%)	12.0%	12.4%	0%	16.1%	14.9%	1%	19.8%	16.6%	3%
Tax expense (NT\$mn)	-\$20,949	-\$20,517	2%	-\$36,619	-\$31,011	18%	-\$53,357	-\$40,544	32%
Tax rate (%)	20.5%	19.8%	1%	20.8%	19.9%	1%	20.7%	19.9%	1%
Net profit (NT\$mn)	\$81,048	\$83,243	-3%	\$139,247	\$124,811	12%	\$204,103	\$163,657	25%
Net margins (%)	9.6%	9.9%	0%	12.8%	12.0%	1%	15.7%	13.3%	2%
EPS (NT\$)	\$18.13	\$18.78	-3%	\$30.90	\$28.24	9%	\$45.30	\$37.25	22%

Source: BofA Global Research estimates, Bloomberg

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Exhibit 2: ASE's equipment buy YTD vs. capex trend

ASE's spending on equipment through late September is already tracking 82% if its full year Capex guidance

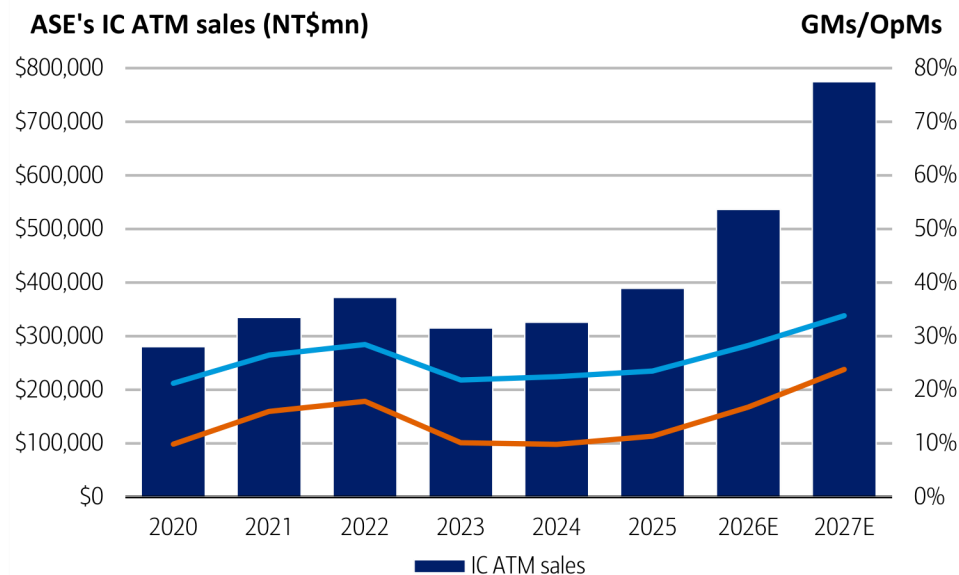


Source: BofA Global Research estimates, company data

BofA GLOBAL RESEARCH

Exhibit 3: ASE IC ATM revenue and GMs/OpMs

ASE's LEAP business to drive GM expansion to 37% in 2028

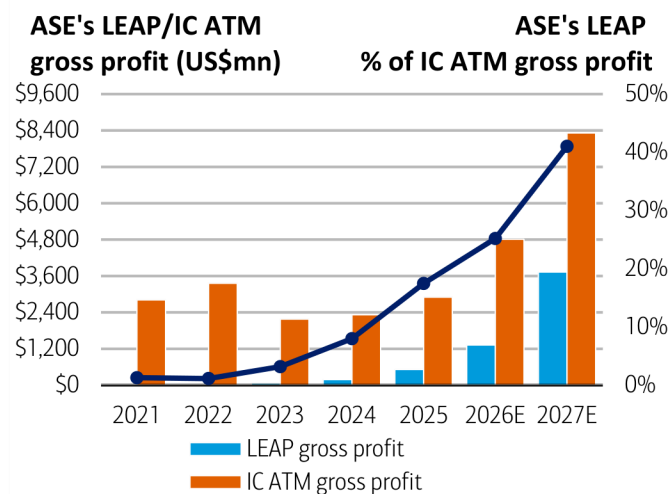


Source: BofA Global Research estimates, company data

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Exhibit 4: ASE LEAP/IC ATM revenue

LEAP to account for 38% of IC ATM sales in 2028

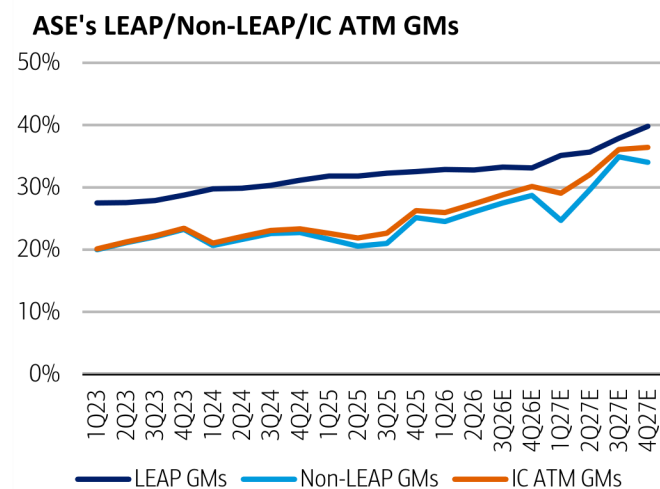


Source: BofA Global Research estimates, company data

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Exhibit 5: ASE LEAP/non-LEAP/IC ATM GMs

LEAP is margin accretive to IC ATM business



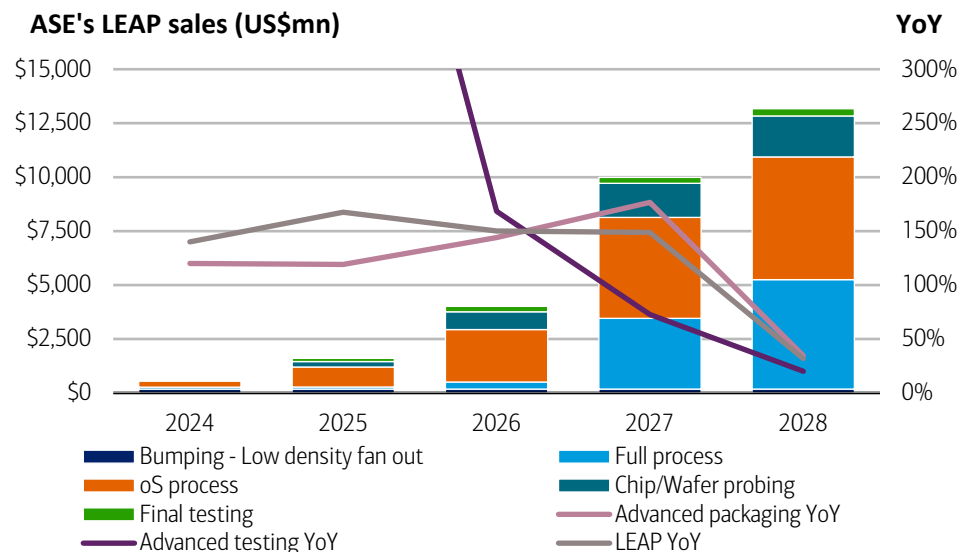
Source: BofA Global Research estimates, company data

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Exhibit 6: ASE LEAP sales by subsegments and YoY

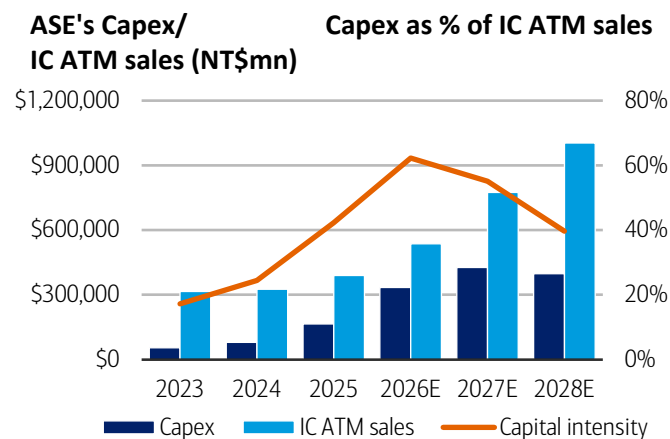
ASE's full process packaging should see strong ramp from 2H26



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Exhibit 7: ASE Capex and IC ATM sales

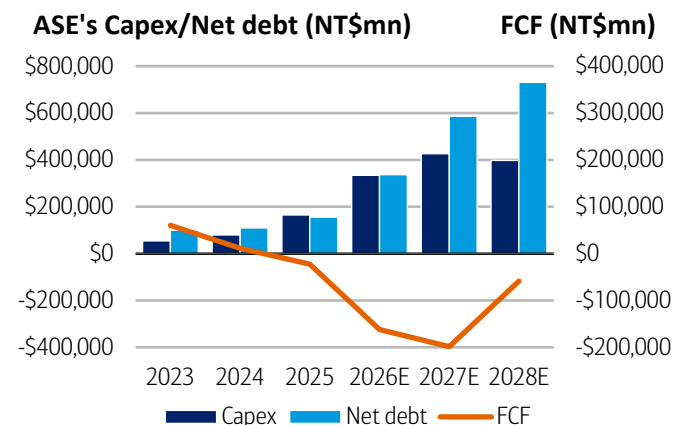
ASE Capex as % of IC ATM sales to remain above 40%



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Exhibit 8: ASE Capex/Net debt/FCF

ASE will need debt to support Capex expansion



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Exhibit 9: Terms and definitions

Glossary of abbreviations/acronyms

Term	Definition
IC ATM	Integrated Circuit Assembly, Testing, and Material
LEAP	Leading-Edge Advanced Packaging
oS	On Substrate

Source: BofA Global Research

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Price objective basis & risk

ASE Technology Holding (XSRIF / ASX)

We value ASE Technology Holding at NT\$800 per share (US\$51 for ADR), based on 20x 2H27-1H28E P/E, above its historical range of 5-26x, in view of its solidified industry position in AI era. We use P/E ratio to value ASE as the company has been able to maintain healthy profitability through the cycles in the past 20 years due to consolidating industry landscape supporting a more benign supply/demand and keeping pricing and margins less cyclical.

Downside risks to our PO are 1) share loss and/or ASP erosion owing to Chinese players' cannibalization and/or ASE's worsening execution, 2) weakening end demand due to uncontrollable matters, such as macro halt and/or geopolitical tensions, 3) regulatory issues that could hinder ASE from generating synergies and benefit its competitors.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silegy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	MXSXF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Corp.	XUMIF	2303 TT	Haas Liu
	United Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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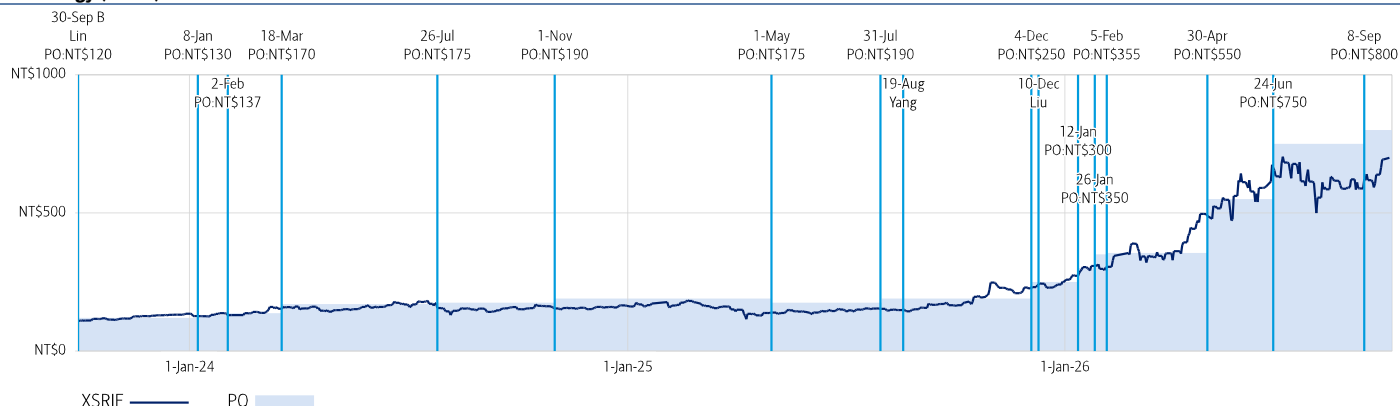
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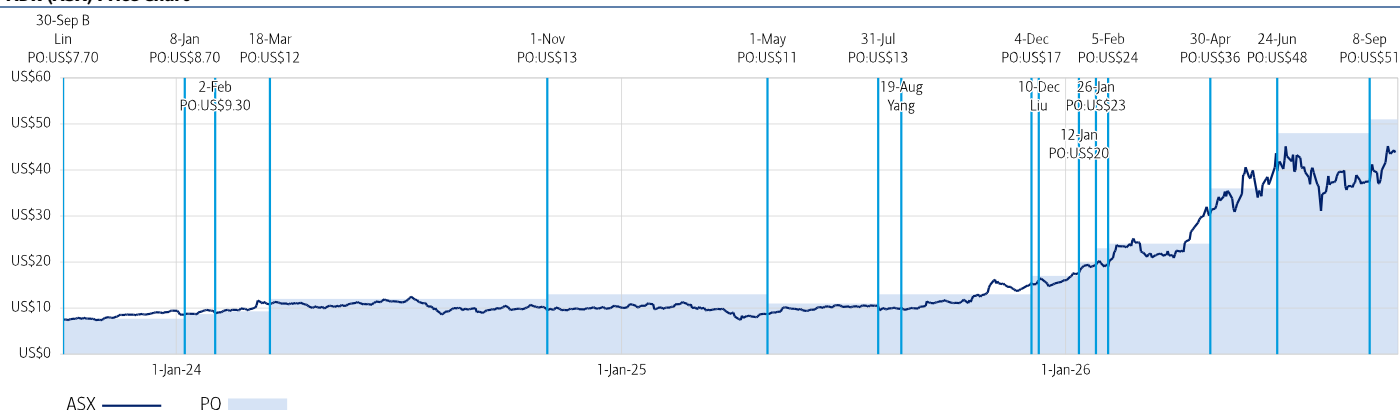
ASE Technology (XSRIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

ASE -ADR (ASX) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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